

INDITEX (BME: ITX) EQUITY RESEARCH

Recommendation	SELL
Price	€57.28
Target Price	€34.36
Downside	(40.0%)
Date	30 July 2026

Analyst: Dimitrios Leftakis de Leon

2. Investment Summary

Thesis

We initiate coverage of Inditex with a **SELL** recommendation and a target price of **€34.36 per share**, implying approximately **40% downside** from the current market price of **€57.28** (as of 30th July 2026). Through the analysis of various valuation methods, including discount cash flow analysis and peer-group trading multiples, Inditex appears to be materially overvalued despite being an industry-leading operational performer. Our base-case DCF values the shares at €34.36 while assuming EBIT margins remain near all-time highs and long-term growth remains strong. Importantly, the current share price is only justified by an implied equity beta of 0.46 which is below any realistic estimate of the company's historical or fundamental risk profile/

Table 1: Key Investment Metrics

METRIC	VALUE
SHARE PRICE	€57.28
MARKET CAP	€178.5bn
ENTERPRISE VALUE	€173.5bn
NET CASH (AFTER LEASES)	€5.0bn
FY2026A REVENUE	€39,9bn
FY2026A EBIT	€8.0bn
FY2026 EBIT MARGIN	20.2%
EV/EBITDA	15.3x
PEER MEDIAN EV/EBITDA	8.3x
P/E	28.7x
DIVIDEND YIELD	3.0%
IMPLIED BETA AT MARKET PRICE	0.46
MEASURED BETA	0.90

Figure 2: Valuation Summary

Methodology	Value (€)	Upside/Downside
DCF Bear	29.20	(49%)
DCF Base	34.36	(40%)
DCF Bull	44.46	(22%)
EV/EBITDA Comps	31.64	(45%)
EV/Sales Comps	36.92	(36%)
Current Price	57.28	-

Key Upside Risk

Our investment thesis would be challenged if Inditex successfully accelerates growth across the Americas while demonstrating that current margin levels are structural rather than cyclical

3. Company Overview

What is Inditex?

Inditex is the world's largest apparel retailer by revenue and the parent company of Zara – one of the most recognisable global fashion brands. Headquartered in Arteixo Spain, the company operates an integrated retail model by combining design, sourcing, manufacturing, logistics and retail distribution with a highly coordinated supply chain. Unlike traditional apparel retailers that can require four to six months to move products from design to store shelves, Inditex can respond to changing consumer demand in as little as two weeks. This fast-fashion operating model allows the company to produce smaller inventory batches as well as minimize markdown risk.

Brand Portfolio

Although Zara is still the core profit engine and accounts for 70% of total revenues, Inditex operates a diversified portfolio of brands targeting different consumer segments. These include: 1) Bershka focuses on younger customers and streetwear-inspired fashion 2) Pull&Bear targets casual everyday wear 3) Stradivarius addresses trend-driven female consumers 4) Massimo Dutti occupies a more premium position in the market 5) Oysho focuses on activewear and intimate apparel 6) Lefties serves value-oriented consumers 7) Zara Home provides home furnishing products. Despite this diversification, Zara remains overwhelmingly dominant and effectively subsidises the rest of the portfolio through its scale and profitability.

Scale & Geographic Footprint

Inditex operates 5,460 stores across 215 markets globally, making it one of the most geographically diversified retailers in the world. Europe represents the largest contributor to revenue at approximately 54%, followed by the Americas at 17.5%, Spain at 16.9% and the rest of the world at 11.6%. Importantly, Inditex does not treat ecommerce as a separate business line. Instead, stores and online operations are integrated through initiatives such as ship-from-store and click-and-collect, creating a unified cross-channel retail model. Around 91% of revenues are generated through company-operated channels, with only a small contribution from franchise operations.

Financial Profile

Inditex generated FY2026 revenue of €39.9bn and EBIT of €8.0bn which represents a record 20.2% operating margin. The company maintains one of the strongest balance sheets in global retail, holding approximately €11bn of cash while carrying no meaningful financial debt. The only significant balance sheet obligations are IFRS 16 lease liabilities of roughly €5.9bn. Capital expenditure requirements remain modest at approximately 7% of revenue, allowing strong free cash flow generation and supporting a dividend yield of around 3%. On the surface, Inditex appears to be a textbook quality company. The key question for investors is whether these strengths justify the current valuation.

4. Investment Thesis – The Case for SELL

4a. Valuation is stretched beyond fundamentals

Inditex currently trades at approximately 15.3x EV/EBITDA compared to a peer median of 8.3x, representing an 85% valuation premium. While the company deserves to trade above peers given its superior execution, balance sheet strength and profitability the current premium appears excessive. H&M, the closest comparable company, trades at only 8.1x EV/EBITDA while Next trades at 11.7x despite displaying similarly impressive capital allocation and operational discipline. Even after giving Inditex full credit for its superior business model, the current valuation appears difficult to justify. Our DCF valuation reaches an implied share price of €34.36 even while assuming margins remain at record levels and long-term growth remains healthy. The resulting terminal value implies a future EV/EBITDA multiple of 9.2x which means the model assumes substantial multiple compression over time. Put simply, investors today are paying a valuation that even optimistic cash flow assumptions would struggle to support.

Perhaps most stunningly, the market price only becomes reasonable when an implied beta of approximately 0.46 is used. Such a risk profile would be more consistent with regulated utilities than a global discretionary retailer.

4b. Margins are at peak

Inditex has delivered exceptional margin expansion over recent years, increasing EBIT margins from 15.4% in FY 2022 to 20.2% in FY2026. This improvement has been driven by favourable freight costs, pricing power, operating leverage and inventory discipline. However, the market now appears to assume these elevated margins are permanent. Our model already assumes EBIT margins remain between 20.2% and 20.3% through FY2031 and into the terminal period. This is a highly supportive assumption that effectively treats current profitability as sustainable indefinitely.

There are reasons for caution. Input costs have benefited from favourable macroeconomic trends. Chinese sourcing remains vulnerable to geopolitical and tariff-related risks, and low-cost competitors such as Shein and Temu continue to put pressure on pricing across the value segment. Sensitivity analysis demonstrates that reducing terminal EBIT margins to 18% (which are well above historical averages) reduces fair value materially.

The conclusion is that margins are doing a disproportionate amount of work in supporting the valuation.

4c. Growth is decelerating

Revenue growth has already slowed from 17.5% in FY2023 to just 3.2% in FY2026. The company's size increasingly creates a natural constraint on future growth opportunities. At nearly €40bn in revenue, maintaining double-digit growth becomes progressively more difficult.

Our model assumes revenue growth gradually declines from 6% to 4% over the forecast period. While reasonable, even this assumption may prove optimistic. Store expansion is slowing, with FY2026 including 190 openings offset by 293 absorptions. As a result, future growth must increasingly come from like-for-like sales growth, price increases, and digital channel performance rather than physical expansion.

The Americas represent an attractive source of optionality, particularly following Bershka's US entry strategy. However, this growth opportunity remains in its early stages and should not justify paying an almost 30x earnings multiple today.

4d. The implied beta tells the whole story

The strongest argument for our SELL recommendation comes from examining what the current share price implies about risk.

Using our DCF framework, the market price of €57.28 implies a beta of roughly 0.46. By contrast, a measured beta based on historical trading behaviour is approximately 0.90. Even our bull-case scenario assumes a beta of 0.65, comfortably below historical estimates. Yet that still produces a valuation of only €44.46 per share.

Investors do not need to believe Inditex is a poor company to agree with a SELL recommendation. Rather, they must recognise that the current valuation requires the business to be substantially less risky than its own history suggests. For a discretionary retailer with exposure to consumer spending, supply chains, currency movements and expansion execution risk, such an assumption appears unrealistic

5. Industry & Competitive Landscape

Fast-fashion market

The global apparel industry is increasingly characterised by intense competition, shorter product cycles, and changing consumer purchasing behaviour. Traditional fast-fashion retailers now face pressure from both value-oriented digital challengers and premium apparel brands. At the lower end of the market, platforms such as Shein and Temu have leveraged highly flexible supply chains and data-driven merchandising to offer trend-responsive products at extremely low price points. Their asset-light operating models eliminate many of the fixed costs associated with maintaining extensive physical store networks and allow them to compete aggressively on price.

At the opposite end of the market, luxury and accessible-luxury brands have expanded their reach and broadened product offerings, increasing competition for higher-income consumers. As a result, many traditional apparel retailers have found themselves squeezed between lower-cost digital disruptors and premium brands with stronger pricing power.

This environment has proven particularly challenging for mid-market retailers including Gap, Marks & Spencer and H&M. However, Inditex has consistently outperformed peers through superior supply chain management, stronger brand equity and faster inventory turnover. The company's ability to adapt to changing consumer preferences has enabled it to maintain market share while preserving profitability. Nevertheless, competitive intensity continues to increase, and the sustainability of current industry-leading margins remains uncertain.

Inditex moat

Inditex's primary competitive advantage lies in its vertically integrated business model. Unlike many competitors that outsource significant portions of production and distribution, Inditex retains substantial control over design, manufacturing, logistics and inventory management. This allows products to move from concept to store shelves in approximately two weeks, compared to four to six months for many traditional retailers.

The company also benefits from a unique feedback loop between stores and production teams. Real-time demand information is incorporated into inventory and design decisions, enabling rapid replenishment of successful products and reducing excess stock. Small production batches create scarcity, support full-price sell-through rates and minimise markdown activity.

However, the durability of this advantage deserves scrutiny. Digital-native competitors do not necessarily need to replicate Inditex's physical-store-led model in order to compete effectively. Rather than relying on store traffic for consumer insights, platforms such as Shein use social media engagement, online browsing behaviour and direct consumer data as their primary feedback mechanisms.

This distinction is increasingly important as online retail penetration continues to rise. Inditex's online operations remain integrated with its store network, creating

operational efficiencies but also exposing the company to the significant fixed-cost base associated with physical retail. The valuation gap between Inditex and online-focused peers highlights the market's belief that its integrated model remains superior. For example, Zalando currently trades at approximately 0.6x EV/Sales compared with Inditex's 4.4x EV/Sales multiple. While some premium is justified, the scale of this difference demonstrates how much value investors are assigning to Inditex's operating model.

Competitive positioning by peer

H&M remains the closest business-model comparable to Inditex. Both companies operate large-scale fast-fashion businesses with global store networks. However, Inditex consistently generates higher margins, stronger inventory productivity and superior cash generation. The valuation gap between the two companies reflects the market's willingness to pay a significant premium for better execution.

Fast Retailing, the owner of Uniqlo, represents the closest peer in terms of scale, profitability and global brand strength. Notably, it trades at valuation multiples above those of Inditex, suggesting investors are willing to place substantial value on businesses perceived as possessing durable competitive advantages and long growth runways.

Next offers perhaps the strongest challenge to Inditex's valuation. The company has demonstrated exceptional operational execution, capital discipline and shareholder returns while trading at significantly lower multiples. This raises an important question for investors: how large should the premium for Inditex's global scale and growth profile really be?

At the lower end of the peer group, Gap illustrates the valuation consequences of weak execution and limited pricing power. Associated British Foods, through Primark, provides a useful reference point for value-oriented apparel retailing and highlights the pressure being exerted by ultra-low-cost competitors. Collectively, the peer group demonstrates that while Inditex remains one of the highest-quality operators in global apparel, investors may already be paying for perfection.

Figure 3: Trading Comparable Company Multiples

COMPARABLE COMPANIES Company	Ticker	Market cap (€bn)	EV (€bn)	EV/Sales (x)	EV/EBITDA (x)	P/E (x)	Notes
H&M (Hennes & Mauritz)	HMB:SS	25.3	28.8	1.4x	8.1x	22.7x	Closest business-model twin - identical model, radically worse execution. The EV/EBITDA gap (8.1x vs ~15x) quantifies what the market pays for operational excellence within the same format. Only peer at comparable scale and quality. Trades richer than Inditex on every metric - the single most important check on the "priced for permanence" thesis. If the market pays 51x for Uniqlo, ~29x for Inditex is internally consistent. Sharpest beer-case exhibit. Comparable execution quality and capital discipline at well under half the EV/EBITDA multiple. The "why pay up?" question made concrete - the premium must be earned by growth and geography, not quality alone. Pure-play online proxy. EV/Sales of 0.58x vs Inditex's ~4.4x shows how differently the market values online-only revenue versus integrated retail. Digital channel growing slower than group at Inditex makes this increasingly relevant. Conglomerate - group multiples contaminated by sugar, grocery and ingredients divisions; excluded from core EV/Sales median. Deep-discount no-commerce contrast - the most direct casualty of Shein/Temu pressure that Zara's positioning largely avoids. Legacy retailer turnaround. Clothing competes with Massimo Dutti in the UK. Forward P/E used - trailing (30x) distorted by one-off items. EV/EBITDA almost identical to H&M despite a fundamentally different trajectory. US/Americas reference - the geography where Inditex's growth optionality sits (17.8% of revenue, Bershka US entry underway). P/E ~7.6x (trailing, re-verified late-Jul-26) shows how brutally the US prices apparel without pricing power. Sets the floor the Americas expansion must clear.
Fast Retailing	9983:JP	133.2	124.9	6.3x	24.3x	51.6x	
Next plc	NXT:LN	20.4	22.3	2.8x	11.7x	20.4x	
Zalando	ZAL:GR	7.4	7.5	0.6x	10.0x	27.9x	
Associated British Foods	ABF:LN	17.2	20.7	0.9x	6.8x	15.8x	
Marks & Spencer	MKS:LN	9.7	12.6	0.6x	8.3x	15.1x	
Gap	GAP:US	6.3	8.5	0.6x	8.1x	7.6x	

Source: Yahoo Finance; author calculations

6. Financial Analysis

Table 3: Historical and Forecast Financial Performance (FY2022A-FY2031E)

	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue (€m)	27,716	32,569	35,947	38,632	39,864	42,256	44,580	46,809	48,915	50,872
Revenue growth (%)	n/a	17.5%	10.4%	7.5%	3.2%	6.0%	5.5%	5.0%	4.5%	4.0%
EBITDA, lease-adjusted (€m)	5,558	6,779	8,148	8,878	9,385	10,120	10,677	11,258	11,764	12,235
EBITDA margin, lease-adj. (%)	20.1%	20.8%	22.7%	23.0%	23.5%	24.0%	24.0%	24.1%	24.1%	24.1%
EBIT (€m)	4,264	5,571	6,856	7,594	8,045	8,536	9,005	9,502	9,930	10,327
EBIT margin (%)	15.4%	17.1%	19.1%	19.7%	20.2%	20.2%	20.2%	20.3%	20.3%	20.3%
NOPAT / proxy net income (€m)	3,243	4,130	5,381	5,866	6,220	6,615	6,979	7,317	7,646	7,952
NOPAT / proxy net margin (%)	11.7%	12.7%	15.0%	15.2%	15.6%	15.7%	15.7%	15.6%	15.6%	15.6%
D&A excl. lease depreciation (€m)	1,294	1,208	1,292	1,284	1,340	1,585	1,672	1,755	1,834	1,908
D&A (excl. lease dep.) as % of revenue	4.7%	3.7%	3.6%	3.3%	3.4%	3.8%	3.8%	3.8%	3.8%	3.8%

Margin Analysis

Inditex has delivered exceptional profitability growth over the last five fiscal years. EBIT increased from €4.3bn in FY2022 to €8.0bn in FY2026, while EBIT margin expanded from 15.4% to 20.2%. This represents approximately 480 basis points of margin expansion over the period and reflects one of the strongest profitability improvements among global apparel retailers.

Several factors have contributed to this performance. First, Zara's increasing importance within the group has supported pricing power and mix improvement. Second, the company's integrated operating model has allowed inventory management to remain efficient despite volatile consumer demand. Finally, strong revenue growth has generated substantial operating leverage, enabling fixed costs to be spread across a larger revenue base.

Our forecasts assume margins remain broadly stable at approximately 20.2%-20.3% through FY2031E. This is a supportive assumption that effectively treats current profitability as sustainable. While there is evidence supporting this view, investors should recognise that current margins are already at all-time highs. Any moderation in pricing power, increases in sourcing costs, or deterioration in consumer demand could pressure profitability.

It is also important to distinguish between lease-adjusted EBITDA and reported EBITDA under IFRS 16. The DCF valuation uses lease-adjusted EBITDA because lease depreciation is excluded from the free cash flow calculation, while trading multiples use reported EBITDA for consistency with peers. Although this creates different EBITDA figures throughout the report, the treatment remains internally consistent across valuation methodologies.

FCF Analysis

Free cash flow generation remains one of Inditex's greatest strengths. Historical unlevered free cash flow has averaged approximately €4.0-4.3bn annually, equivalent to roughly 10-11% of revenue. Forecast free cash flow increases from approximately €5.1bn in FY2027E to over €6.0bn by FY2031E.

These forecasts assume capital expenditure equivalent to approximately 6.9% of revenue. This is deliberately more conservative than management guidance, which implies capital expenditure of approximately €2.3bn or roughly 5.5% of revenue. The higher assumption reflects the likelihood of continued investment in technology, logistics infrastructure and store optimisation initiatives.

Working-capital requirements are modelled as a cash outflow equivalent to 0.5% of revenue annually. This assumption is broadly consistent with historical averages, although FY2026 experienced a notably larger working-capital outflow of approximately 2.0% of revenue. We view this as an anomaly rather than a sustainable trend and therefore normalise the assumption in future periods.

Overall, the company continues to exhibit an attractive cash-flow profile, underpinning the quality of the underlying business even as valuation concerns emerge.

Balance Sheet Analysis

Inditex possesses one of the strongest balance sheets in the global retail sector. The company holds approximately €11.0bn of cash and short-term investments while carrying no meaningful financial debt. The only significant debt-like obligations are lease liabilities totalling approximately €5.9bn under IFRS 16. After adjusting for leases, net cash amounts to roughly €5.0bn.

This financial flexibility substantially reduces downside risk. Management faces no refinancing pressure, no restrictive debt covenants and maintains significant optionality regarding future shareholder distributions or strategic investments. However, investors should recognise that this strength is already fully incorporated into valuation calculations. Cash is added and lease liabilities deducted within the DCF equity value bridge. Consequently, the balance sheet is a reason the shares are unlikely to collapse fundamentally, but not necessarily a justification for paying a higher valuation multiple.

7. Valuation

DCF

Our primary valuation methodology is a discounted cash flow model based on a five-year explicit forecast period extending from FY2027E through FY2031E. Free cash flows are discounted using a mid-year convention to better reflect the timing of cash generation throughout the year. A terminal value is calculated using the Gordon Growth methodology.

The model employs a WACC of 8.07%, derived using CAPM assumptions of a 3.3% risk-free rate, a beta of 0.90 and an equity risk premium of 5.5%. This produces a cost of equity of 8.25%. Combining this with an after-tax cost of debt of 2.77% and applying the appropriate capital structure weights results in the final WACC assumption. Terminal growth is set at 2.5%, modestly below long-term nominal Eurozone GDP growth.

Free cash flow is calculated as: **EBIT × (1 – Tax Rate) + Non-Lease D&A – Capex – Working Capital Investment**

The present value of forecast-period free cash flows totals approximately €23.0bn, while the present value of the terminal value contributes €79.0bn. Combined, these produce an enterprise value of €102.1bn. After deducting lease liabilities of €5.9bn and adding cash balances of €11.0bn, the model generates an equity value of approximately €107.1bn. Dividing by 3,116.1 million shares outstanding implies a fair value of €34.36 per share.

Figure 3: DCF Valuation Bridge

VALUATION

Sum of PV of FCFs (€m)	23,025
PV of terminal value (€m)	79,033
Enterprise value (€m)	102,059
Less: lease liabilities (€m)	(5,935)
Add: cash & ST investments (€m)	10,960
Equity value (€m)	107,084
Shares outstanding (m)	3,116.1
Implied share price (€)	34.36
Current share price (€)	57.28
Implied upside / (downside) (%)	(40.0%)

A number of cross-checks support the robustness of the valuation framework. Terminal value accounts for approximately 77% of enterprise value, sitting near the upper end of the typical 60-80% range observed in mature businesses. Additionally, the implied terminal EV/EBITDA multiple of 9.2x is substantially below the current market multiple of approximately 18.5x, indicating that significant multiple compression is already embedded within the valuation. Importantly, even under these supportive assumptions, fair value remains materially below the current share price.

Figure 4: DCF Cross-Check Analysis

CROSS-CHECKS

Terminal value as % of EV	77.4%
Implied exit EV/EBITDA (lease-adj., x)	9.2x
Current EV/EBITDA (lease-adj., x)	18.5x
Terminal EBITDA margin (lease-adj., %)	24.1%

Sensitivity Analysis

Given the importance of long-term assumptions in any DCF model, sensitivity analysis was performed on both discount rates and terminal value assumptions.

The first sensitivity table varies WACC and terminal growth assumptions. Valuation outcomes range from approximately €27 per share under a 9.0% WACC and 1.5% terminal growth scenario to approximately €52 per share under a 7.0% WACC and 3.5% growth scenario. Crucially, even the most optimistic combination of assumptions fails to justify the current market price of €57.28.

The second sensitivity table varies terminal operating margins and terminal growth assumptions. Even assuming a terminal EBIT margin of 22% and perpetual growth of 3.5%, implied value reaches only approximately €44 per share. This remains more than 20% below the current market valuation.

The conclusion from both sets of sensitivities is consistent: the current share price requires assumptions that lie beyond the range of reasonable outcomes generated by the model.

Figure 5: DCF Sensitivity Analysis (WACC vs Terminal Growth)

WACC ↓ / g						
→		1.5%	2.0%	2.5%	3.0%	3.5%
7.00%		35.81	38.61	42.04	46.33	51.84
7.50%		33.00	35.30	38.06	41.43	45.65
8.07%		30.30	32.16	34.36	37.00	40.21
8.50%		28.58	30.19	32.08	34.31	36.98
9.00%		26.81	28.19	29.78	31.63	33.83
EBIT m. ↓ / g →						
		1.5%	2.0%	2.5%	3.0%	3.5%
18.0%		26.95	28.54	30.41	32.66	35.39
19.0%		28.40	30.11	32.13	34.55	37.49
20.3%		30.30	32.16	34.36	37.00	40.21
21.0%		31.32	33.27	35.57	38.32	41.68
22.0%		32.77	34.84	37.29	40.21	43.77

Trading Comps

Relative valuation supports the conclusion reached by the DCF analysis. Inditex currently trades at approximately 15.3x EV/EBITDA, substantially above the peer median of 8.3x. The company also trades at 4.4x EV/Sales and 28.7x earnings, reflecting a significant premium compared with most global apparel retailers. While Inditex deserves a premium valuation given its superior execution, balance sheet strength and profitability, the current premium appears difficult to justify based solely on operating performance.

Figure 7: Relative Valuation Comparison

COMPARABLE COMPANIES Company	Ticker	Market cap (€bn)	EV (€bn)	EV/Sales (x)	EV/EBITDA (x)	P/E (x)
Fast Retailing	9983:JP	133.2	124.9	6.3x	24.3x	51.6x
Next plc	NXT:LN	20.4	22.3	2.8x	11.7x	20.4x
Zalando	ZAL:GR	7.4	7.5	0.6x	10.0x	27.9x
Associated British Foods	ABF:LN	17.2	20.7	0.9x	6.8x	15.8x
Marks & Spencer	MKS:LN	9.7	12.6	0.6x	8.3x	15.1x
Gap	GAP:US	6.3	8.5	0.6x	8.1x	7.6x
Peer median (all 7)				0.9x	8.3x	20.4x
Peer mean (all 7)				1.9x	11.0x	23.0x
Core peers median (H&M, Fast Retailing, Next)				2.8x 	11.7x 	22.7x
Inditex (on FY2026A model financials)	ITX:SM	178.5	173.5	4.4x	15.3x	28.7x
Premium / (discount) to peer median				378.2%	85.4%	40.9%

H&M remains the closest operational comparable and trades on only 8.1x EV/EBITDA, highlighting the premium investors assign to Inditex's stronger profitability and inventory management. Next trades on approximately 11.7x despite demonstrating similar capital discipline and shareholder returns. Fast Retailing is the only peer trading at a higher multiple, reflecting the market's willingness to reward businesses perceived as possessing durable competitive advantages and long growth runways

Table 4: Implied Valuation from Trading Comparables

Methodology	Implied Share Price (€)
EV/EBITDA (Peer Median)	31.64
EV/Sales (Core Peer Median)	36.92
Current Share Price	57.28

Applying the peer median EV/EBITDA multiple to Inditex's FY2026 results implies a share price of €31.64. Applying the core-peer EV/Sales multiple produces a valuation of €36.92 per share. Both estimates align closely with the DCF framework and imply material downside from current levels. The consistency across methodologies strengthens confidence in the overall valuation conclusion.

To assess valuation under different risk assumptions, a scenario analysis was performed using alternative beta estimates. Since cost of equity represents one of the most influential inputs within the valuation framework, varying beta assumptions provides a useful indication of upside and downside potential under different market conditions.

Figure 8: Scenario Analysis

Scenario	Beta	Cost of equity (%)	WACC (%)	Implied price (€)	Upside / (downside) (%)	Rationale
Bull case	0.65	6.88%	6.74%	44.46	(22.4%)	Low-beta defensive read; near bottom of observed range
Base case	0.90	8.25%	8.07%	34.36	(40.0%)	Yahoo Finance 5yr monthly, 30-Jul-26 (see beta note on Assumptions)
Bear case	1.10	9.35%	9.14%	29.20	(49.0%)	Discretionary retail; China and US cyclical exposure

Figure 9: Implied Beta required to Support Current Market Price

Beta implied by current share price (€57.28) **0.46**

The bull case assumes a beta of 0.65 and generates a value of €44.46 per share, representing the most optimistic reasonable outcome. The base case employs a beta of 0.90, broadly consistent with historical observations, and results in a valuation of €34.36 per share. The bear case assumes a beta of 1.10 and produces a value of €29.20. Notably, even the most favourable valuation scenario remains below the current market price of €57.28.

The most important finding is the beta implied by the current share price. Solving directly for the beta required to justify today's valuation produces an estimate of approximately 0.46. Such a risk level would be more consistent with defensive consumer staples or utilities than with a global discretionary retailer. This observation forms the foundation of our SELL recommendation.

8. Risks to the Sell Thesis

Margins structural not cyclical

A key risk to our investment thesis is that current profitability is not cyclical but structural. Advances in inventory optimisation, data analytics and supply-chain management may have permanently improved operating economics. If margins above 20% represent a sustainable new normal rather than a cyclical peak, fair value could be materially higher than estimated in our model.

Americas expansion delivers

The Americas currently account for approximately 17.5% of group revenue and represent one of Inditex's most significant growth opportunities. Continued investment in Zara's US footprint and the expansion of Bershka could unlock a meaningful runway for future growth. Strong execution would challenge our assumptions regarding revenue deceleration and support higher valuation multiples.

Consumer staple in disguise

The market may view Inditex as possessing characteristics more commonly associated with defensive businesses. Zara's relatively low transaction values, broad customer base and high purchase frequency may reduce earnings volatility compared with traditional discretionary retailers. If investors continue to perceive Inditex as unusually resilient throughout economic cycles, a lower beta may be justified.

Currency tailwinds

Given Inditex's international footprint, currency movements can have a meaningful impact on reported performance. A weaker euro would increase the translation value of foreign revenues and earnings, supporting growth and profitability. Such tailwinds could result in earnings exceeding our forecasts.

Capital return acceleration

The company holds approximately €11bn of cash and maintains substantial financial flexibility. Additional dividends or share repurchases could increase earnings per share and improve shareholder returns without requiring stronger operational performance. These actions are not explicitly included in our valuation framework

M&A optionality

Although Inditex has historically prioritised organic growth, its strong balance sheet creates significant acquisition capacity. Strategic acquisitions could provide access to new technologies, brands or geographic markets and would represent upside not captured by our forecasts.

9. Appendix

Appendix A: WACC Derivation Table

WACC DERIVATION	
Risk-free rate (%)	3.3%
Beta	0.90
Equity risk premium (%)	5.5%
Cost of equity (%)	8.25%
Pre-tax cost of debt (%)	3.6%
Tax rate for WACC (%)	23.0%
After-tax cost of debt (%)	2.77%
Market cap (€m)	178,490
Total debt (€m)	5,935
Total capital (€m)	184,425
Equity weight (%)	96.8%
Debt weight (%)	3.2%
WACC (%)	8.07%

Appendix B: Sources

Company Sources

- Inditex FY2022 Results Release
- Inditex FY2023 Results Release
- Inditex FY2024 Results Release
- Inditex FY2025 Results Release
- Inditex FY2026 Results Release
- Inditex Investor Relations

Market Data Sources

- Yahoo Finance (30 July 2026)
- Company filings
- Annual reports
- Investor presentations

Author Assumptions

- Revenue growth forecast assumptions
- Margin assumptions
- Capital expenditure assumptions
- Working capital assumptions
- Terminal value assumptions

Disclaimer

This report has been prepared solely as a personal equity research exercise for educational and informational purposes. It does not constitute investment advice, an offer to buy or sell securities, or a recommendation regarding any investment strategy. All financial data has been obtained from publicly available sources believed to be reliable as of 30 July 2026. Forecasts, assumptions and valuation estimates represent the author's independent analysis and judgement. The author holds no position in Inditex shares at the time of publication.